

The Use of Trusts for Inheritance Tax Planning

There are several ways to reduce our exposure to inheritance tax, if we plan in advance.

For example:

- Making gifts to family and loved ones
- Moving assets into a Trust
- Taking out a life assurance policy to cover the tax bill
- Sheltering assets within tax-efficient investments
- Utilising Business Relief / Replacement Relief

To help identify the right solution, a full review of each person's individual circumstances, finances, wants and needs is necessary.

In this case-study, we consider the merits of moving assets into a Trust.

Trusts

Trusts have been in existence for many centuries. They are a means of protecting assets from inheritance tax (as well as creditors in the event of bankruptcy and beneficiaries in the event of divorce).

Once assets have been held in Trust for a period of seven years, they are deemed to be outside of the Settlor's estate, and therefore no longer subject to inheritance tax.

Trusts are available in many different forms, each with their own features, benefits and practical uses.

Gift Trusts

A Gift Trust can be established on a 'stand-alone' basis as a means of passing on assets to beneficiaries. The Trust and its Provisions need to be drawn up by a firm of solicitors and require the appointment of Trustees to manage the assets on behalf of the Beneficiaries.

The Trustees are required to take professional advice from a legal, tax and financial perspective, to ensure the Trust is managed effectively and efficiently. In addition, the Trust must be registered with the Trustees Registration Service, for HMRC compliance purposes.

A popular misconception with a Gift Trust, is that the Settlor can continue to benefit from the Trust's assets (for example, retain access to the capital or receive an income from the assets). However, this would be deemed by HMRC as a 'Gift with Reservation', meaning that upon death, the Trust's assets would be included within the overall estate. As such, the trust would have failed to achieve its intended purpose.



An Alternative Solution: Investment Bonds in Trust

Investment Bonds

An investment bond is simply an investment plan with a life assurance component attached to it. They are provided by many of the largest insurance companies in the UK and can be used to achieve capital growth, security and tax-efficiency.

One of the main features and benefits of an investment bond is that tax-efficient withdrawals can be made, of up to 5% p.a.

In addition, investors can retain access to their capital at all times. They can even withdraw the full amount if needed (for example, due to a change in personal circumstances).

Investment Bonds in Trust

Investment Bonds are commonly used alongside Trusts for inheritance tax planning purposes.

Unlike stand-alone Gift Trusts, investment bonds placed within a Trust are not deemed to be a 'Gift with Reservation', despite the fact that investors can retain access to their capital and/or take regular withdrawals.

Another advantage of using investment bonds within a Trust is that the insurance company provides all of the trust documentation and administration, on a simplified basis. This can help keep things simple and also keep costs down.

One type of Trust that is often used in conjunction with an investment bond is a Reversionary Interest Trust.

Reversionary Interest Trusts

A Reversionary Interest Trust is typically used by those who wish to plan for inheritance tax, and who would also like to retain access to and control over their assets.

With this type of Trust, the investment bond is placed within the Trust in the form of a gift. This moves the funds outside of the estate for inheritance tax purposes if the Settlor(s) survive 7 years from the date the gift was made.

In addition, the Trust provides the Settlor(s) with the flexibility to access their wealth by taking withdrawals at a rate of up to 10% p.a. on predetermined dates. If these withdrawals are not needed, they can be stored up within the Trust on a cumulative basis and taken at a later date.

Careful financial planning, including the use of a Reversionary Interest Trust, can provide two significant tax benefits:

- After surviving a 7-year period, the gift and accumulated growth on the investment will be outside of the estate, and therefore will not be subject to inheritance tax.
- Any withdrawals that are deferred and not taken, will also be outside the estate for inheritance tax purposes. This gives the Settlor(s) the best of both worlds: access to their capital if it's needed and inheritance tax relief if it's not needed.

Client Scenario

Colin and Carol are married, retired and in their early 70s. They have a son who is in his 40s, and two young grandchildren.

Colin receives a Final Salary pension from his previous employer, while Carol is drawing an income from her accumulated personal pensions. They have sufficient income to cover their fixed expenses and lifestyle costs, plus a healthy surplus.

Colin and Carol have worked hard for their money. Like many parents, when the time comes, they want their son to benefit as much as possible from their accumulated wealth.

Together they have the following assets:

Main residence:	£850,000
Bank deposits:	£70,000
ISAs:	£200,000
Carol's pension funds:	£120,000
Share portfolio:	£50,000
Chattels:	£40,000
Total value of their estate:	£1,330,000

The Problem

Colin and Carol currently have 'liquid assets' that are not sheltered from inheritance, totalling £320,000. (cash, ISAs and shares). In the event of their death, their son would face an inheritance tax bill of £128,000.

As the value of Colin and Carol's assets will continue to grow over the course of their lifetime, it's likely that this tax liability will only increase.

While they want to know what they can do with their assets to reduce this liability, Colin and Carol don't want to lose access and control of their money in case they need it for themselves, to cover future unplanned expenditure.

The Solution

After taking advice and having considered their options, Colin and Carol decide to hold £100,000 in cash and ISAs as an emergency fund and to cover their short-medium term planned expenditure.

To help reduce their exposure to inheritance tax, they decide to re-allocate £220,000 into an investment bond within a Reversionary Interest Trust.

Colin and Carol are pleased that after a 7-year period, all funds remaining within the trust will be free of inheritance tax, and that if their circumstance change, they can make withdrawals to meet their financial needs. They also like having the option to defer their entitlement to withdrawals and retain those funds within the Trust to reduce the value of their estate.

Important: The above example is for illustration purposes only. Tax treatment is subject to change and personal circumstances. Before deciding on any course of action we recommend seeking independent financial advice.

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Further Information & Support

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